

Andy Constan & Jimmy: Tariff Tacos, Bond Carnage & ROW Rotation

Extracted from: DS Weekly Outlook Meeting

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 **5-Minute Version:** [Watch Key Excerpts](#)

Speaker Bios

Andy Constan is founder and CIO of Damped Spring Advisors. Former head of portfolio strategy at Bridgewater Associates and derivatives trader at Salomon Brothers. Known for volatility-adjusted macro positioning and cross-asset transmission frameworks.

Jimmy is a technical analyst and regular contributor to DS Weekly Outlook. Specializes in market structure, options flow, and short-term tactical setups.

Executive Summary

Andy executes a **full rotation out of US assets** at Monday's open—the culmination of a year-long shift from 100% US beta to majority rest-of-world. The thesis: US equities and bonds are rich, financial conditions tightening, and **every non-dollar asset has outperformed** (gold, silver, EM, Europe). Meanwhile, **STIR pricing <1 cut over 4 meetings is a bargain**—he sees June cut as near-certain regardless of Fed chair replacement noise.

The tactical setup is a **“taco” (Trump tariff reversal) → gap fill → fail**. Jimmy notes Trump “broke the charts” — NASDAQ through yearly lows, creating overhead resistance even on a resolution. The steepener trade that dominated last week got squeezed; now 2s10s is spiking back. Critical observation: **bonds dumped on a risk-off day**, which should have helped them. Andy attributes this to global back-end repricing (JGB selling) rather than deficit fears, with flows visibly moving from UST to JGBs.

Metals remain bullish—consolidation patterns are “refreshers not tops.” Jimmy sees silver targets at \$125. No positions to short yet; just reduce from overweight to regular weight. Energy (crude) is range-bound at \$58.50 floor until Iran headlines clear; fish behind the boat with \$57 bids. Bitcoin acted weird on Sunday open—down to \$92K despite gold/silver strength—but still making higher highs/lows.

PM implication: Exit US equity/bond beta at open. Own ROW/EM instead. Buy STIR (Feb ZN 111 puts look attractive; look to sell 110.5s or 110s on a squeeze to 111.13-111.15 support). On taco rip, sell gap fill—bonds won't participate, curve will get heavy and drag equities back down. Metals: trim to neutral, not short. Watch 10Y 4.30-4.40 as next resistance; ZN 110.20 as major support for bond longs.

Listen or Skip?

Verdict: Must-listen—actionable rotation call with precise tactical levels and hedging framework

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Macro PMs, rates traders, tactical equity allocators **Skip if:** Looking for single-stock ideas or long-term fundamental analysis

Key Quotes

1. "As of the open I'm going to be getting out of US assets... I have a bearish outlook of the currency relative to other fiats because of the asset flows."
2. "STIR is priced for less than one cut over the next four meetings and that's a bargain to me. That's just a straight out bargain."
3. "He kind of broke the charts with this one. NASDAQ took out the yearly lows... technically this is not going to be as easy to recover from."
4. "On a quick taco, you get the recovery, then you presumably that's when you can sell."
5. "There's no cheap hedge. Feb-March was a buck 25 two weeks ago, now crushed to 50 cents. You can't hedge with bonds—that's the recipe for when things unravel."
6. "Keep an open mind on the upside—some of the waves now take you up to buck 25 in silver."
7. "The entire back end of the curve globally is getting repriced. That's more what's happening than anything about issuance or the deficit."
8. "I think 110.20 in ZN is where you have to go all in on bonds. That's returning to the scene of the crime from the August employment report."

1) Executive Dashboard (PM Read)

Metric	Assessment
Net Signal	Risk-Off (US), Risk-On (ROW/Metals)
Conviction	Medium — waiting for taco resolution
Time Horizon	Tactical (0-1m) + Cyclical (1-6m)
Primary Domain(s)	Macro Rates FX Equities Commodities
Why Now?	Tariff headlines + SCOTUS decision + Fed chair noise = volatility; bonds breaking down globally

Top 3 Investable Ideas:

1. **Long ROW/EM equities, short US** — exit US beta entirely; flows favor non-dollar assets
2. **Long STIR / front-end rates** — <1 cut priced, June cut near-certain; buy Feb ZN 111 area on dips to 110.20
3. **Hold metals, trim to neutral** — silver consolidation = refresher; \$125 upside target; not time to short

2) Key Investable Insights

Insight 1: Rotate Out of US Assets

- **Claim:** US equities and bonds are rich; every non-dollar asset outperforming.
- **Asset Class:** Global equities, FX
- **Mechanism:** Asset flows leaving dollar; ROW bonds now offer adequate risk premium for diversification (unlike past 3-4 years).
- **Expression:** Sell SPY/QQQ; buy EFA/EEM or country-specific ETFs (Europe, Japan)
- **Trigger to Exit/Flip:** Dollar breaks higher with US equities outperforming on tariff resolution
- **Confidence:** High

Insight 2: STIR Is Cheap

- **Claim:** <1 cut priced over 4 meetings is a bargain; June cut certain.
- **Asset Class:** US Rates

- **Mechanism:** New Fed chair won't fight cuts; only need 2 swing votes (Jefferson, Bar, Kashkari, Pollson). Economic slowdown thesis intact despite 3% GDP print.
- **Expression:** Long Feb SOFR; long ZN with 110.20 as major support. Sell 110.5/110 puts on squeeze to 111.13-111.15.
- **Trigger to Exit/Flip:** Inflation reaccelerates; Fed signals extended pause
- **Confidence:** High

Insight 3: Taco → Gap Fill → Fail

- **Claim:** Europe tariff resolution likely (taco), but rally fails at overhead resistance.
- **Asset Class:** US Equities
- **Mechanism:** Trump broke charts—created overhead resistance. Bonds won't rally on taco; curve gets heavy; drags equities back down.
- **Expression:** Sell ES/NQ gap fill (6980 area). Buy vol on the rip if cheap.
- **Trigger to Exit/Flip:** Trump escalates beyond allies (NATO withdrawal); market breaks Thanksgiving lows
- **Confidence:** Medium

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/Flows
Trump tariff headlines	ES/NQ vol spike, EUR weakness	VIX term structure inversion	US/EU correlation breakdown	No cheap hedges post-Jan expiry	Steeper unwind, STIR buying
Global back-end repricing	10Y UST through 4.20, JGBs selling	USD/JPY pressure above 160	UST-JGB correlation rising	JGB flows to UST diminishing	Real money rotating UST → JGB
ROW asset flows	EFA/EEM outperformance	USD weakness vs G10/EM	Gold/silver bid regardless of risk tone	Carry positive for non-US	Institutional rotation visible
Metals consolidation	Silver holding \$82.75 support	Copper, platinum also consolidating	Metals decorrelating from risk	Positive carry on physical	Overweight trimming, not shorting

4) Regime & Scenario Analysis

- **Current Regime Fit:** Late-cycle slowdown with policy uncertainty. US growth stronger than expected (3%) but Andy “doesn't trust it.” Not recession—slowdown. Goldilocks fading.
- **Base Case (60%):** Taco within 24-48 hours → gap fill to 6980 → fail at resistance → grind lower toward Thanksgiving lows. Bonds remain weak; curve steepens. Fed cuts in June.
- **Alt Case (40%):** Trump escalates (NATO withdrawal rhetoric, China retaliation) → 3-5% correction → 2s rally but back-end still sells → flight to ROW accelerates.
- **Anti-Thesis Trigger:** Trump full reversal with sustained equity rally to new highs; bond market stabilizes; dollar strengthens.
- **Tail Risks:** SCOTUS decision unexpectedly market-moving; Iran headlines resurface pushing crude through \$62.

5) Hard Data & Verifiable Claims

- **Data:** S&P down ~85 points, NASDAQ down 400+ points (roughly 1%) on tariff headlines
- **Data:** STIR pricing <1 cut over next 4 meetings
- **Data:** US GDP running at 3% (hotter than Andy expected)
- **Data:** 10Y yields through 4.20%, next targets 4.30-4.40
- **Data:** Feb-Mar VIX calendar crushed from \$1.25 to \$0.50 in two weeks
- **Data:** Silver swing support at \$82.75, upside target \$125
- **Data:** Bitcoin held \$92K on Sunday dip despite gold/silver strength
- **Data:** Crude floor at \$58.50 held multiple hits

- **Data:** ZN support at 111.13-111.15, major support at 110.20
- **Claim:** JGB flows pulling UST lower—“entire back end of curve globally getting repriced”
- **Claim:** New Fed chair (Warsh or Rieder rising) won’t change June cut probability

6) BS & Bias Filter

- **Incentives:** Andy runs Damped Spring Advisors—talking his book on ROW rotation and STIR longs. Position disclosure is implicit.
- **Blind Spots:** Minimal coverage of earnings (notes they’ve been fine but “not supportive” of stocks). No EM country-level granularity.
- **Track Record:** Andy acknowledges being “pretty wrong for a while on the stock market”—honest about US equity bear call not working. STIR thesis has been right.
- **Consensus Check:** Contrarian on US equity beta; consensus on taco expectation. Metals view is crowded but not fighting it.
- **Sample Bias:** US-centric with Japan rates mentioned; limited EM/China discussion (“that’s not my game”).

7) PM Bottom Line

Action → Trade + Hedge

Exit US equity/bond beta at open; rotate to ROW/EM. Buy STIR on dips—ZN 110.20 is major support for full size. On tariff taco, sell the gap fill (ES 6980 area) as bonds won’t participate and curve heaviness will drag equities back down. Metals: trim overweight to neutral but don’t short—consolidation patterns are bullish refreshers. Energy: fish behind the boat with \$57 crude bids. No cheap hedges exist—VIX term structure jacked post-Jan expiry.

Key watches: SCOTUS decision timing (Tuesday expected), 10Y 4.30-4.40 resistance, ZN 111.13-111.15 near-term support, ES gap fill at 6980, Bitcoin \$92K support, silver \$82.75 support.